

Vietnam's Past & Present:
Current Stage of Economic Development in
East and Southeast Asia

Asian Economy: Mid Term Paper Fall Semester 2025

at the

**Graduate School of Economics
of the Waseda University**

lectured by

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Submission date: 23.12.2025

Abstract

This paper examines the drivers of sustained economic growth in East and Southeast Asia, focusing on the eight High-Performing Asian Economies (HPAEs): Japan; the four East Asian Tigers—Hong Kong, South Korea, Singapore, and Taiwan; and the newly industrializing economies of Malaysia, Indonesia, and Thailand. Drawing on the existing literature, the paper identifies four key factors underlying sustainable economic growth: macroeconomic stability, openness to trade and investment, strong institutions and governance, and investment in human capital and productivity.

The analysis then applies this framework to Vietnam’s development trajectory before and after the Đổi Mới reforms. The transition toward a market-oriented economy, combined with export expansion and rising foreign direct investment, enabled Vietnam to achieve rapid and sustained growth over the past decades. A comparative assessment of Vietnam and its regional peers illustrates that adherence to these four key factors has played a central role in supporting Vietnam’s long-term growth performance.

Finally, the paper evaluates Vietnam’s current strengths and structural weaknesses and discusses the challenges that may constrain future development. The analysis provides the foundation for subsequent research assessing whether Vietnam can realistically achieve high-income status by 2045 and identifying the policy reforms required to support this objective.

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1 Introduction

For poor countries with large young populations, growing fast should be easy: open up, create some form of market economy, invest in human and physical capital, don't be unlucky and don't blow it. Catch-up and convergence should do the rest.
Citigroup (2011), p. 1

This statement, cited by Rodrik (2011) and attributed to Willem Buiter and Ebrahim Rahbari, reflects an optimistic view of economic convergence. It suggests that late-developing countries can achieve rapid growth by adopting market-oriented policies, investing in human and physical capital, and integrating into the global economy. Whether economic convergence is indeed this straightforward, however, remains an open empirical question. This paper examines the validity of this proposition by comparing Vietnam's development experience with that of other East and Southeast Asian economies.

Over the past three decades, Vietnam has emerged as one of the fastest-growing economies in the world, transitioning from a low-income country to a lower-middle-income economy. Following reunification in 1975, Vietnam adopted a centrally planned economic system modeled after other socialist economies. Under this system, the state owned and controlled land, factories, and foreign trade, while prices, production targets, and resource allocation were determined administratively rather than through market mechanisms. Private enterprise was virtually nonexistent.

Although this model was ideologically consistent with socialist principles, it quickly encountered severe economic difficulties. Vietnam suffered from chronic food shortages caused by low productivity, weak incentives, and adverse weather conditions. Two consecutive Five-Year Plans delivered disappointing outcomes, with average annual growth of only 0.5 percent and a dramatic surge in inflation—from 164.6 percent to 774.7 percent within just two years. After more than a decade of economic hardship, Vietnam was on the verge of economic collapse by the early 1980s.

Against this background, Vietnam's subsequent transformation raises a fundamental question: what policy and institutional changes enabled the country to become one of Asia's recent economic success stories? This mid-term paper analyzes how Vietnam's development trajectory fits within the broader East Asian development model and assesses how the country's current strengths and structural weaknesses shape its future growth prospects.

To address this question, the next section provides a brief review of the relevant literature on East Asian development, with particular attention to the experiences of the East Asian Tigers and China.

2 Literature Review

World Bank (1993) documents the exceptionally strong economic performance of East Asia between 1965 and 1990, during which the region achieved the highest growth rates worldwide. The study identifies eight High-Performing Asian Economies (HPAEs): Japan; the four East Asian Tigers—Hong Kong, South Korea, Singapore, and Taiwan; and the newly industrializing economies of Malaysia, Indonesia, and Thailand. Despite substantial differences in population size, culture, resource endowments, and economic policies, all eight economies experienced rapid and sustained growth accompanied by significant improvements in human welfare and life expectancy.

Unlike many developing countries that experience short-lived growth episodes, the HPAEs maintained high growth rates over several decades while also achieving relatively equitable income distributions. This distinctive combination of sustained growth and declining inequality raises an important question: did these economies share common characteristics that differentiated them from other developing countries?

According to World Bank (1993), the HPAEs exhibited six key shared characteristics: rapid growth in agricultural output and productivity; strong expansion of manufactured exports; earlier and steeper declines in fertility rates; high rates of physical capital accumulation supported by elevated domestic savings; relatively high initial levels and rapid accumulation of human capital; and consistently strong productivity growth. Together, these factors contributed to dramatic poverty reduction across the region.

Agriculture played a particularly important role in East Asia's early development. Although the share of agriculture in total output declined—as is typical during structural transformation—agricultural output and productivity growth between 1965 and 1988 far exceeded those observed in other developing regions. This success was driven by land reforms, investments in rural infrastructure, and the expansion of agricultural extension services. Rising agricultural productivity reduced food insecurity and mortality, allowing

households and governments to shift attention away from subsistence concerns toward growth-enhancing activities and industrialization.

Export performance constituted another central pillar of the HPAEs' growth strategy. These economies steadily increased their shares of world exports, reflecting their openness to international trade and deep integration into global markets. High export and import ratios exposed domestic producers to international competition, encouraging efficiency, innovation, and technological upgrading.

Investment also played a crucial role in East Asia's development. Physical investment—defined as output not consumed but used for future production, including buildings, infrastructure, and working capital—has traditionally been a key driver of economic growth. Open economies benefit from access to foreign capital, and many Asian economies attracted substantial foreign direct investment (FDI), which accounted for a significant share of GDP. Notably, the HPAEs were among the few developing economies where domestic savings exceeded investment, making them net exporters of capital.

Rapid productivity growth further distinguished the HPAEs from other developing regions. Labor productivity gains, reflected in rising GDP per capita, were driven by increases in output per worker and improvements in production efficiency. In nearly all rapidly growing East Asian economies, the expansion and transformation of education and training systems over the past decades were particularly pronounced. Primary education, in particular, emerged as the single largest contributor to predicted growth rates across the HPAEs.

World Bank (1993) estimates that approximately two-thirds of East Asia's extraordinary growth can be attributed to rapid accumulation of human and physical capital. The remaining one-third reflects gains in total factor productivity (TFP), which captures improvements in efficiency arising from technological progress, institutional quality, and managerial capabilities. TFP thus represents the portion of economic growth that cannot be explained by increases in labor or capital inputs alone.

Overall, East Asia’s success can be characterized by sustained high growth, declining inequality, expanding exports, strong productivity performance, and rapid accumulation of human and physical capital. This raises a further question: which policy choices underpinned these outcomes?

While some observers attribute East Asia’s success to region-specific factors such as culture, history, or geography, the evidence suggests that policy choices played a decisive role. According to World Bank (1993), limiting direct government intervention in resource allocation and allowing markets to function was central to achieving efficient outcomes. Although markets are imperfect, reliance on market mechanisms—consistent with the logic of Adam Smith’s “invisible hand”—tended to maximize welfare by aligning individual incentives with aggregate outcomes.

At the same time, governments actively promoted openness to international trade, investment, and the diffusion of ideas. Exposure to global competition incentivized domestic firms to innovate, adopt new technologies, and improve productivity. Importantly, the World Bank emphasizes that one of the most critical public goods provided by the state was a stable macroeconomic environment. Excessive public spending and borrowing often led to monetary expansion, financial instability, inflation, currency overvaluation, and a loss of export competitiveness—outcomes largely avoided by the HPAEs.

Finally, successful East Asian economies consistently reinvested growth dividends in human development. Improvements in the quality of human capital proved essential for sustaining long-term growth. Countries that failed to do so—such as Brazil and Pakistan—encountered persistent development constraints. The East Asian experience therefore highlights four interrelated pillars of effective economic policy: macroeconomic stability, investment in human capital, openness to international trade, and an institutional environment that encourages investment and competition. Improvements in any one of these areas tended to reinforce progress in the others.

Rodrik (2011) extends the analysis of economic growth by examining the conditions under which developing countries can achieve sustained economic

convergence. He highlights that, for the first time in modern economic history, developing economies have been growing faster than advanced economies, raising the question of whether rapid convergence has become easier or more likely.

Rodrik argues that this phenomenon is partly explained by the fact that late-developing countries no longer need to “reinvent the wheel.” Technologies and production techniques developed at the global technological frontier are already available and can be adopted by newcomers at relatively low cost. As in World Bank (1993), Rodrik emphasizes that developing countries are not constrained by domestic savings, as access to global capital markets allows them to finance investment in physical and human capital. Moreover, integration into international trade enables these countries to expand beyond the limits of their domestic markets by exporting goods and services worldwide. In principle, these conditions suggest that catch-up growth and convergence should be both faster and easier than in earlier periods.

However, Rodrik (2011) cautions that convergence is not automatic. He identifies four key elements that shape growth outcomes. First, sound macroeconomic and financial fundamentals are essential to ensure price stability and debt sustainability. Rodrik argues that stronger macroeconomic frameworks helped many developing countries recover more quickly from the global financial crisis than initially expected. Second, openness to international trade plays a critical role in facilitating learning, specialization, and productivity growth. Third, improvements in governance enhance policy credibility and institutional effectiveness. Finally, the global economic environment matters: the expansion of global production networks and the increasing integration of world markets have created new opportunities for latecomers to catch up, provided that domestic fundamentals are in place. Together, these factors reduce the likelihood of severe economic crises and policy failures, thereby improving average growth performance over time.

Rodrik further argues that long-run growth is fundamentally shaped by three core determinants: integration with the global economy through

trade and investment, the maintenance of sustainable fiscal and monetary policies, and institutions capable of enforcing contracts and protecting property rights. Given these foundations, export participation can serve as a powerful engine of growth. Rather than attempting to upgrade the entire economy simultaneously, Rodrik suggests that countries should initially focus on developing manufacturing industries, which offer stronger learning effects, scale economies, and opportunities for productivity convergence.

At the same time, Rodrik emphasizes that building these conditions is neither quick nor straightforward. Implementing macroeconomic discipline, strengthening institutions, and transforming production structures require time and sustained political commitment. Moreover, achieving convergence once does not guarantee its persistence. As global economic conditions evolve, high growth must be continuously supported by further investment, technological upgrading, and innovation. Without ongoing adaptation, convergence may slow or stall, even in countries that have previously performed well.

The next subsection applies these insights to Vietnam's development experience. As a latecomer, Vietnam can be evaluated against the benchmark established by its East Asian predecessors to assess whether it exhibits similar characteristics and faces comparable constraints.

3 Vietnam’s Economic Development

3.1 Vietnam Before Đổi Mới

Following reunification in 1975, Vietnam adopted a centrally planned economic system modeled on the socialist economies of the Soviet Union and Eastern Europe. The Communist Party of Vietnam (CPV) pursued rapid socialist transformation through public and collective ownership, comprehensive central planning, and administrative allocation of resources. Land and forests were nationalized, agriculture was collectivized, and the state assumed control over industry, trade, and finance Kien and Heo (2008); Thuy (2020). Economic activity was dominated by state-owned enterprises (SOEs), which operated under administered prices, received subsidized inputs, and faced soft budget constraints.

By the late 1970s, the structural weaknesses of this economic model had become increasingly evident. Tran Nhuan and Heo (2008) describe an economy characterized by distorted resource allocation, weak incentives, and severe infrastructure bottlenecks Kien and Heo (2008). Industrialization strategies prioritized capital-intensive state industries that absorbed only a small share of the labor force, while the majority of material inputs and investment capital were allocated to SOEs at artificially low prices. Pham Van Thuy (2020) emphasizes that these policies generated chronic fiscal deficits, excess liquidity, and declining efficiency across both industry and agriculture Thuy (2020). The marginalization of private economic activity further constrained productivity growth and amplified inflationary pressures.

Agriculture, which employed the majority of the population, performed particularly poorly under collectivization. Farmers faced weak incentives to invest effort or adopt new technologies on collective land and instead relied on small private plots. Despite accounting for only a minor share of cultivated land, these plots generated a disproportionate share of household income and output Kien and Heo (2008). According to Pham Van Thuy (2020), inefficiencies in agricultural cooperatives in the North, combined with

resistance to collectivization in the South after reunification, led to stagnating productivity and widespread food shortages by the late 1970s Thuy (2020). These shortages severely undermined living standards and heightened social tensions.

Macroeconomic instability intensified throughout the early 1980s. Vietnam experienced stagnating output growth, persistent fiscal imbalances, and accelerating inflation. Tran Nhuan and Heo (2008) document a dramatic surge in inflation during the mid-1980s, driven by excessive monetary expansion, administered pricing, and repeated policy reversals Kien and Heo (2008). Vietnam also remained largely isolated from the global economy. Trade was tightly regulated and oriented primarily toward the Council for Mutual Economic Assistance (CMEA), which accounted for roughly 60 percent of Vietnam’s international trade Thuy (2020). This dependence limited access to technology, foreign exchange, and export markets, leaving the economy highly vulnerable to external shocks.

Subsequent retrospective assessments underscore the severity of Vietnam’s initial conditions prior to reform. The OECD (2025) notes that Vietnam entered the reform period as one of the poorest economies in the world, characterized by weak market institutions, limited integration into global trade, and pervasive state intervention OECD (2025). Similarly, the World Bank (2024) emphasizes that Vietnam’s pre-Đổi Mới growth model was unsustainable, with low productivity, chronic shortages, and minimal incentives for innovation or efficiency World Bank (2024).

Beyond its economic consequences, prolonged stagnation posed a serious political challenge to the CPV. As Le Hong Hiep (2012) argues, by the mid-1980s the Party’s traditional sources of legitimacy—rooted in wartime leadership and ideological commitment—had largely eroded Hiep (2012). Declining living standards, international isolation following Vietnam’s intervention in Cambodia, and the broader global crisis of socialist systems contributed to a deep legitimacy crisis. Pham Van Thuy (2020) highlights that socio-economic performance increasingly emerged as the primary basis on

which the CPV's political authority could be sustained Thuy (2020).

By the mid-1980s, Vietnam faced a systemic socio-economic crisis characterized by food shortages, hyperinflation, fiscal imbalance, and declining political legitimacy. These conditions rendered incremental policy adjustments insufficient and generated strong pressure for comprehensive reform. The adoption of the Đổi Mới policy at the Sixth Party Congress in 1986 thus represented not a sudden ideological rupture, but a pragmatic response to the accumulated structural failures of the pre-reform economic system Kien and Heo (2008); Hiep (2012); Thuy (2020).

3.2 Đổi Mới and Market-Oriented Reforms

In response to the deep socio-economic crisis of the mid-1980s, the Communist Party of Vietnam (CPV) formally launched the Đổi Mới (literally translated meaning "change and new" which leads to the word renovation or reform) reforms at its Sixth Party Congress in 1986. Rather than representing an abandonment of socialism, Đổi Mới marked a pragmatic shift from rigid central planning toward a "socialist-oriented market economy," in which market mechanisms were increasingly used to allocate resources while political control remained centralized Kien and Heo (2008); Thuy (2020). The reforms aimed to restore macroeconomic stability, improve incentives, and revive growth by fundamentally restructuring production, pricing, and ownership arrangements.

One of the earliest and most consequential reforms took place in agriculture. The collective farming system was gradually dismantled and replaced by the household responsibility system, which granted farmers long-term use rights over land and allowed them to retain and sell surplus output at market prices. According to Tran Nhuan and Heo (2008), these reforms led to immediate productivity gains, transforming Vietnam from a food-deficit country into a major rice exporter within a few years Kien and Heo (2008). Pham Van Thuy (2020) emphasizes that restoring incentives in agriculture was critical not only for food security, but also for releasing labor and resources for non-agricultural activities Thuy (2020).

Market-oriented reforms were subsequently extended to industry, trade, and finance. Price controls were progressively lifted, subsidies to state-owned enterprises (SOEs) were reduced, and monetary policy was tightened to curb hyperinflation. While SOEs remained important, they were increasingly required to operate under harder budget constraints and greater financial discipline Kien and Heo (2008). At the same time, legal recognition of private enterprises and foreign-invested firms marked a significant departure from earlier ideology. As Pham Van Thuy (2020) documents, the introduction of the 1987 Foreign Investment Law signaled Vietnam’s commitment to openness and integration into the global economy Thuy (2020).

Trade liberalization constituted another core pillar of *Đổi Mới*. Vietnam gradually dismantled its inward-looking trade regime, shifted away from dependence on CMEA partners, and sought integration into regional and global markets. Le Hong Hiep (2012) argues that export-oriented growth became a central source of both economic performance and political legitimacy, as rising incomes and employment reinforced support for continued reform Hiep (2012). Over time, Vietnam’s strategy evolved toward deeper participation in global value chains, particularly in labor-intensive manufacturing sectors.

Macroeconomic stabilization was essential to the success of these reforms. The government reduced fiscal deficits, unified exchange rates, and introduced tighter monetary control, bringing inflation down from triple-digit levels by the early 1990s Kien and Heo (2008). Retrospective assessments by the OECD (2025) highlight that restoring macroeconomic stability laid the foundation for sustained growth and improved policy credibility OECD (2025). Similarly, the World Bank (2024) emphasizes that early stabilization and market liberalization allowed Vietnam to exploit its demographic advantages and attract large inflows of foreign direct investment World Bank (2024).

Despite these achievements, *Đổi Mới* reforms were gradual and uneven. While markets expanded rapidly, institutional reforms lagged behind. SOEs continued to play a dominant role in key sectors, and financial markets remained underdeveloped. According to the World Bank (2024), this

gradualist approach helped preserve political stability but also generated structural challenges that persist today, including limited productivity spillovers from foreign firms and inefficiencies in resource allocation World Bank (2024).

Overall, Đổi Mới represented a critical turning point in Vietnam’s development trajectory. By reintroducing market incentives, opening the economy to trade and investment, and restoring macroeconomic stability, Vietnam created the conditions for rapid catch-up growth. At the same time, the incomplete nature of institutional reform highlights the limits of market liberalization without deeper structural transformation—an issue that continues to shape Vietnam’s long-term convergence prospects.

3.3 Structural Transformation Since the 1990s

Following the introduction of Đổi Mới in 1986, Vietnam entered a prolonged period of structural transformation that reshaped its economic structure, growth model, and integration into the global economy. From the early 1990s onward, the reform agenda moved beyond crisis management toward sustained market-oriented development, driven by changes in production structure, trade orientation, and investment patterns.

Several external and internal developments reinforced the inevitability of deeper transformation. Externally, the collapse of the Soviet Union and the dissolution of the Council for Mutual Economic Assistance (CMEA) eliminated Vietnam’s primary trading partners and sources of economic support, accelerating the need for integration into global markets. At the same time, the rapid growth of export-oriented economies such as South Korea, Taiwan, and Thailand demonstrated the effectiveness of market mechanisms, openness, and industrial upgrading. Internally, decades of war and economic isolation had left Vietnam with limited capital, outdated technology, and weak institutions, making continued reliance on inward-looking development strategies untenable.

Against this backdrop, Vietnam consolidated the transition toward a

socialist-oriented market economy. While the state retained a guiding and regulatory role, markets increasingly became the primary mechanism for allocating resources, determining prices, and coordinating production decisions. This hybrid model allowed Vietnam to combine political continuity with economic liberalization, providing a stable environment for long-term reform while avoiding abrupt institutional disruption.

Agricultural reform remained a cornerstone of structural transformation in the 1990s. The shift from collective farming to household-based production, combined with market pricing and expanded land-use rights, generated large productivity gains and eliminated chronic food shortages. Rising agricultural incomes contributed to poverty reduction and released labor for non-agricultural sectors, facilitating industrialization and urbanization.

Industrial development and foreign direct investment (FDI) played an increasingly central role in Vietnam's growth model. Legal reforms and improved investment conditions attracted multinational enterprises, integrating Vietnam into multinational production networks, particularly in labor-intensive manufacturing and electronics. Foreign-invested firms became major contributors to exports, employment, and capital accumulation, accelerating the reallocation of resources toward higher-productivity activities.

Trade liberalization further reinforced structural change. Gradual removal of trade barriers and the expansion of export-oriented policies enabled Vietnam to diversify its export base from primary commodities toward manufactured goods such as textiles, footwear, and later electronics. Participation in global value chains allowed firms to specialize in specific stages of production, facilitating technology transfer and learning-by-doing, albeit with limited domestic value added in some sectors.

Vietnam's integration into the global trading system deepened through participation in major regional and multilateral trade agreements, including accession to ASEAN in 1995 and the World Trade Organization in 2007. These commitments locked in reforms, expanded market access, and strengthened Vietnam's credibility as an export-oriented economy. Over time, Vietnam

emerged as one of the most open economies in the region, with trade playing a central role in economic growth.

Overall, the structural transformation since the 1990s marked a decisive shift from an inward-looking, state-dominated system toward an export-oriented, market-based growth model. While this transformation delivered rapid growth and poverty reduction, it also generated new challenges related to productivity upgrading, domestic firm development, and institutional capacity—issues that continue to shape Vietnam’s long-term convergence prospects.

3.4 Vietnam Today: Comparative Economic Performance in East and Southeast Asia

Figure 1 shows Vietnam’s key economic indicators. It has sustained strong GDP growth for several decades, frequently outperforming many of its East and Southeast Asian peers. Despite this impressive performance, GDP per capita remains significantly below that of Malaysia, Thailand, and China. This indicates that Vietnam is converging, but remains firmly within middle-income status. Exports account for an exceptionally high share of GDP, reflecting Vietnam’s deep integration into global value chains, particularly in manufacturing and electronics. Vietnam’s macroeconomic fundamentals are relatively strong, yet substantial income gaps persist.

Figure 2 shows Vietnam’s export highly concentrated structure. Electronics and mobile phones together account for nearly 40 percent of total exports, while machinery and textiles also remain important components. This composition highlights Vietnam’s role as a manufacturing and assembly hub within global production networks, driven largely by multinational enterprises such as Samsung, which alone accounts for a substantial share of national exports. While this specialization has supported rapid growth, it also increases Vietnam’s vulnerability to global electronics cycles. Moreover, rising trade tensions and potential tariff increases—particularly from the US—pose

downside risks to export growth and future GDP performance.

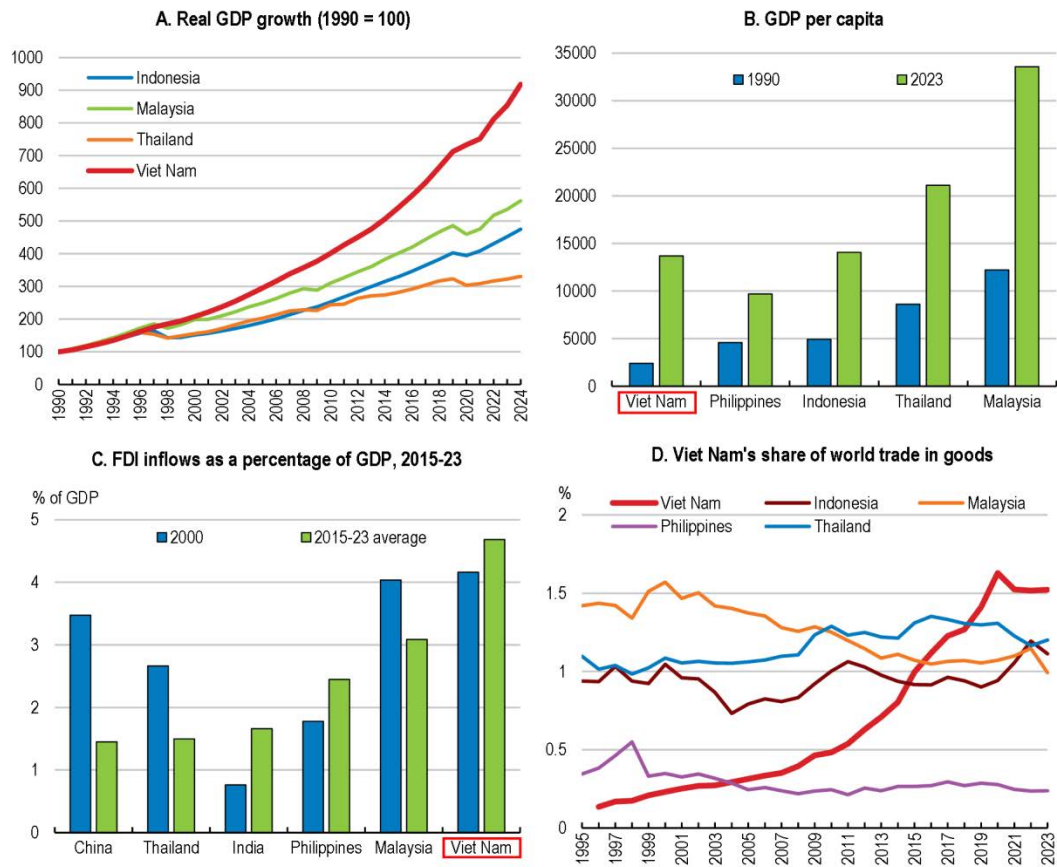


Figure 1: Key Economic Indicators

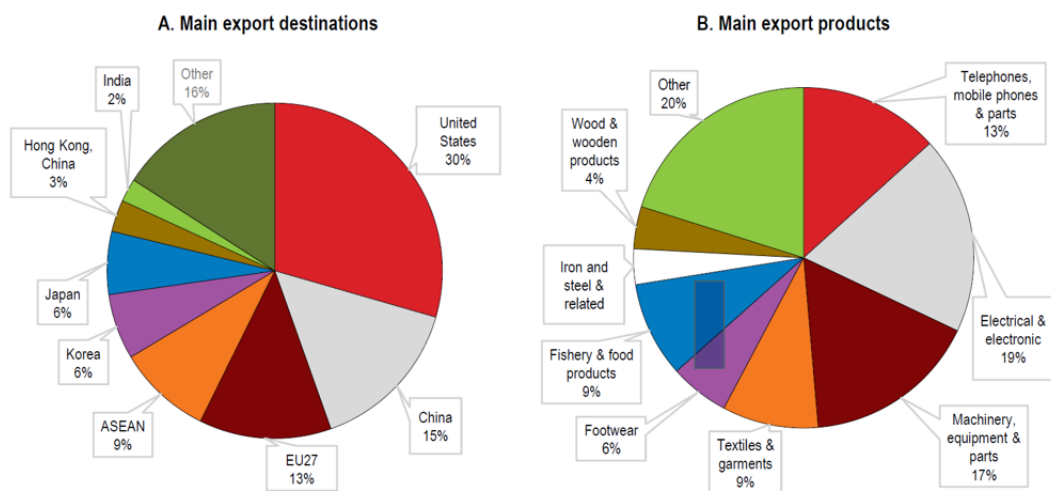


Figure 2: Vietnam's main export destinations and exports

Foreign direct investment represents one of Vietnam’s most important growth engines as seen in Figure 3. In recent years, Vietnam has attracted higher FDI inflows than several regional peers, including Malaysia and the Philippines. This reflects firms’ efforts to diversify production away from China under the so-called “China+1” strategy. Vietnam’s combination of relatively low labor costs, political stability, and openness to trade has strengthened its reputation as a reliable manufacturing base within Asia.

High FDI inflows, however, are associated with important structural limitations. Figure 4 shows foreign value added in Vietnam’s exports remains high, particularly in electronics, indicating that a large share of intermediate inputs is imported. Vietnam’s role within global value chains is therefore concentrated in final assembly rather than upstream, higher value-added activities. As a result, domestic value creation remains limited and technology spillovers to local firms are relatively weak. This dependence on foreign inputs constitutes a major challenge for long-term productivity upgrading.

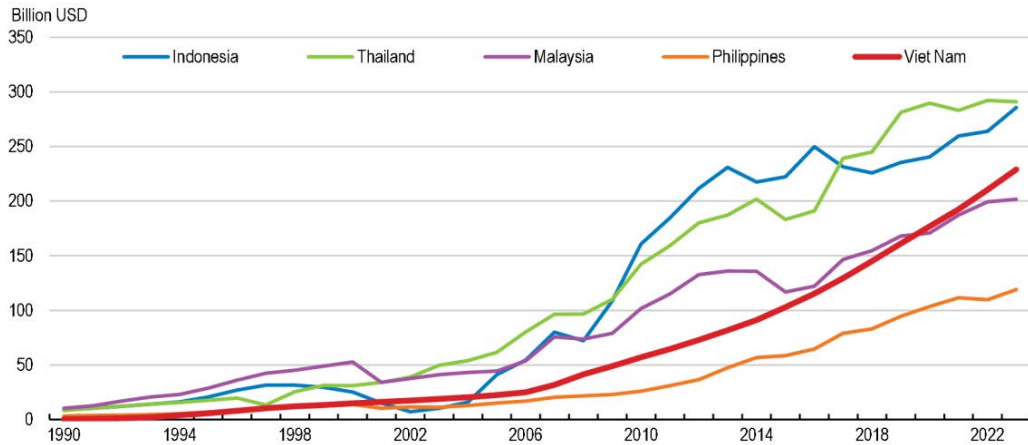


Figure 3: Vietnam’s Growth in FDI compared to other countries

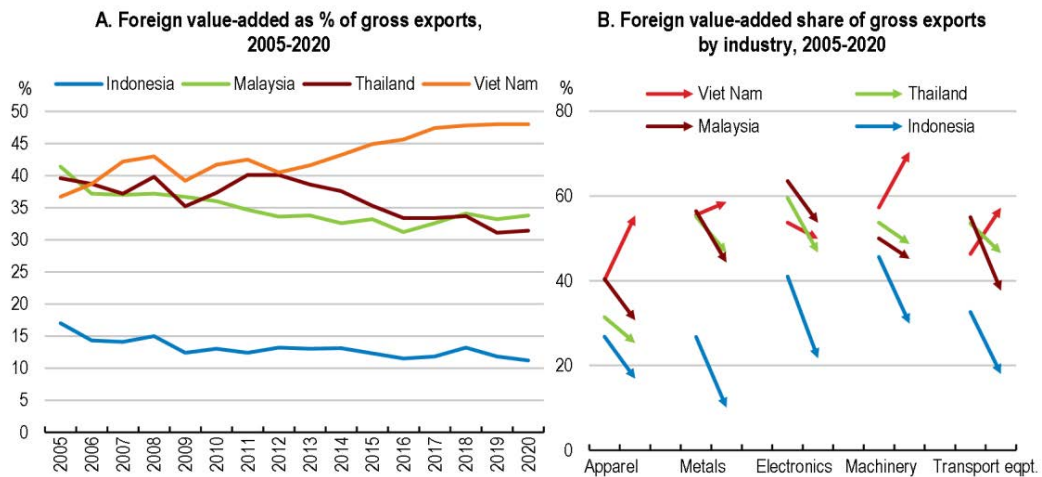


Figure 4: Foreign value-added as % and share of gross exports by industry 2005-2020

Institutional quality and governance remain important constraints. Vietnam's score seen in Figure 5 in the Corruption Perceptions Index is lower than that of regional peers such as Thailand and Malaysia. Although governance has improved in recent years, persistent institutional weaknesses continue to affect investor confidence and slow administrative processes. Further governance reforms will be essential as we have seen in the literature review, if Vietnam wants to transition toward higher value-added activities and more sophisticated production.

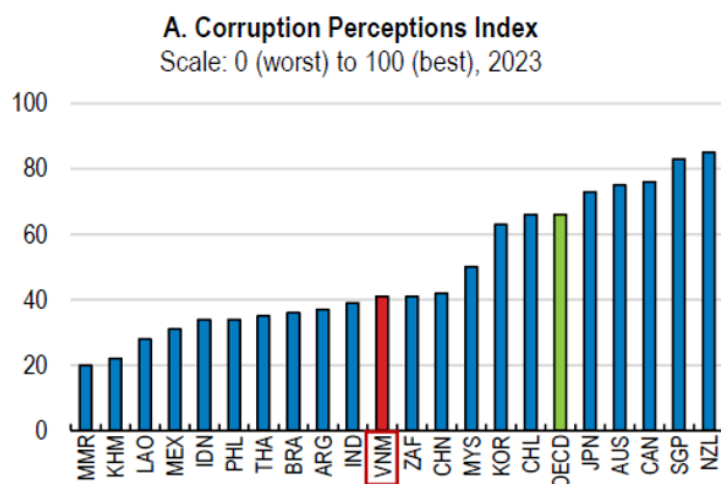


Figure 5: Corruption Perceptions Index

As seen in Figure 6, manufacturing wages in Vietnam remain substantially lower than those in China, Thailand, and Malaysia, which continues to attract foreign investors seeking cost-efficient production locations. However, reliance on low wages is not a sustainable long-term growth strategy. Without corresponding increases in productivity, rising wages will eventually erode competitiveness and encourage firms to relocate production to lower-cost countries.

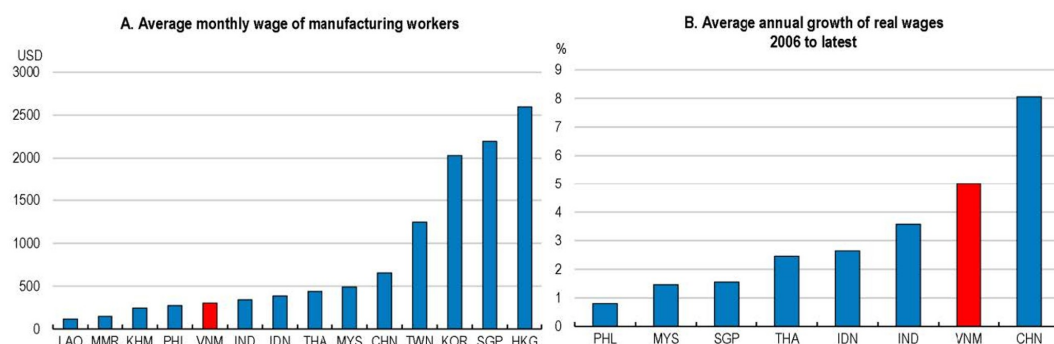


Figure 6: Average monthly wage of manufacturing workers and average annual growth of real wages 2006 to latest

Vietnam has benefited from a favorable demographic structure since the early 2000s, with a large working-age population supporting economic growth. This demographic dividend has been a key driver of Vietnam's development. However, this window is gradually closing as seen in Figure 7. By 2050, the share of elderly individuals is expected to increase sharply, placing pressure on labor supply, healthcare systems, and public finances. As observed in other East Asian economies, rapid upgrading of productivity and skills is crucial before demographic aging becomes a binding constraint.

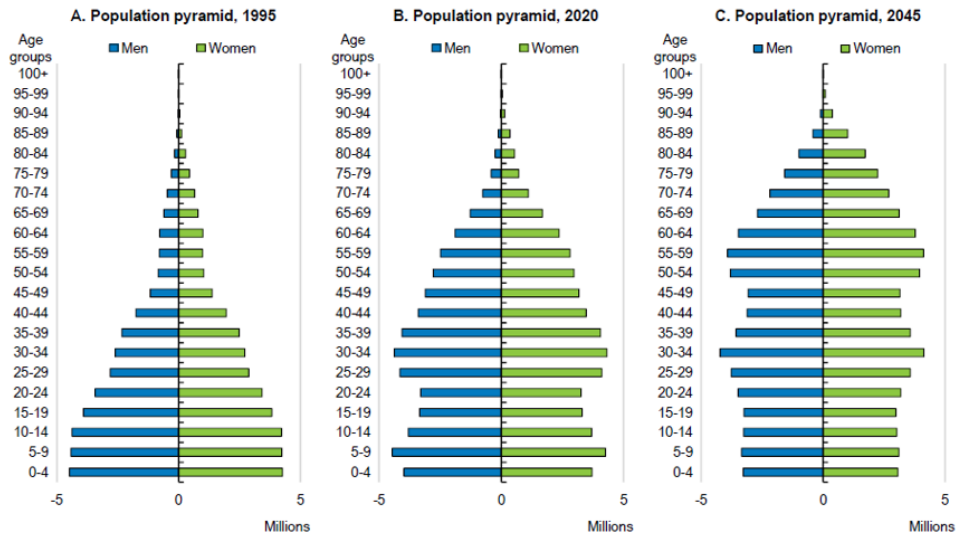


Figure 7: Vietnam's Population Pyramid 1995, 2020, 2045

Despite strong export growth, Vietnam's labor productivity remains among the lowest in the region as seen in Figure 8. Output per worker is significantly lower than in Malaysia and China and lags behind Thailand as well. This productivity gap represents the central constraint preventing Vietnam from reaching upper-middle-income status. It indicates that growth has so far been driven primarily by capital accumulation and labor expansion rather than productivity gains or innovation.

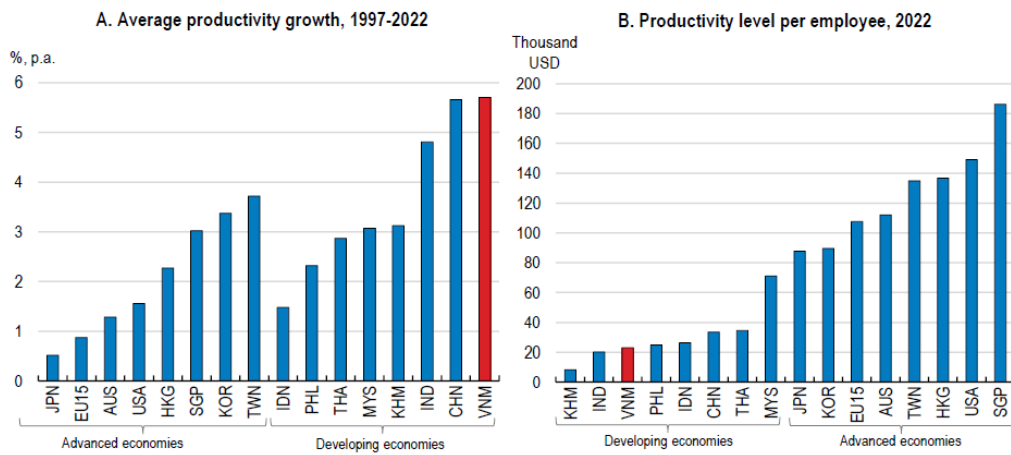


Figure 8: Labor Productivity Growth in Vietnam

Low productivity is closely linked to limited investment in innovation and skills. Figure 9 shows that Vietnam invests very little in research and development compared to regional peers, and only around 10 percent of firms provide formal employee training. These factors contribute to persistent skill gaps and constrain technological upgrading among domestic firms. A relatively small share of GDP is devoted to R&D, far below regional and global averages, implying that economic activity remains focused on production and infrastructure rather than innovation.

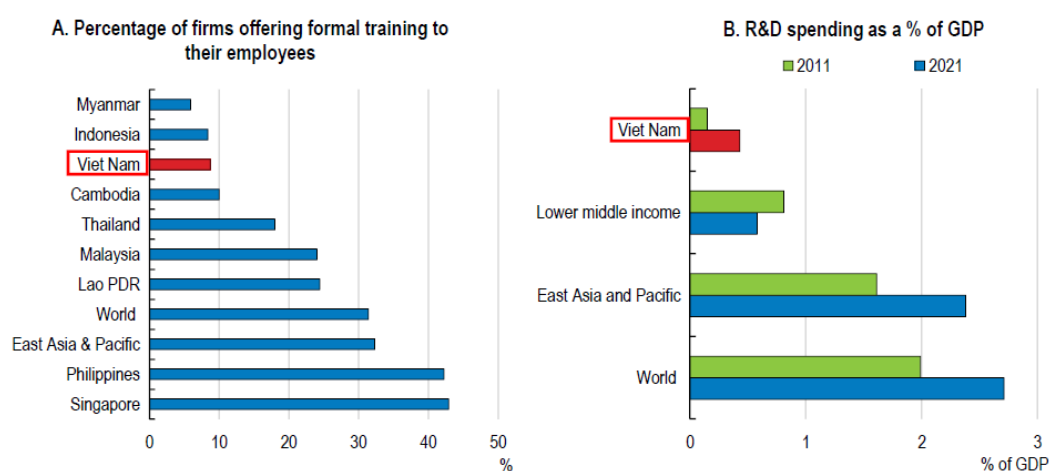


Figure 9: R&D spend in Vietnam compared to other countries

Educational attainment also reflects these challenges. On average, Vietnamese individuals complete approximately 9.3 years of schooling, which remains below levels observed in Japan, Korea, China, Thailand, and Singapore as shown in Figure 10. Nevertheless, a notable strength lies in education quality at the primary and secondary levels.

Vietnam's PISA scores in Figure 11 exceed the OECD average in mathematics, reading, and science: an impressive achievement for a middle-income country. This strong foundation provides a basis for future upgrading, provided that tertiary education and vocational training systems improve accordingly.

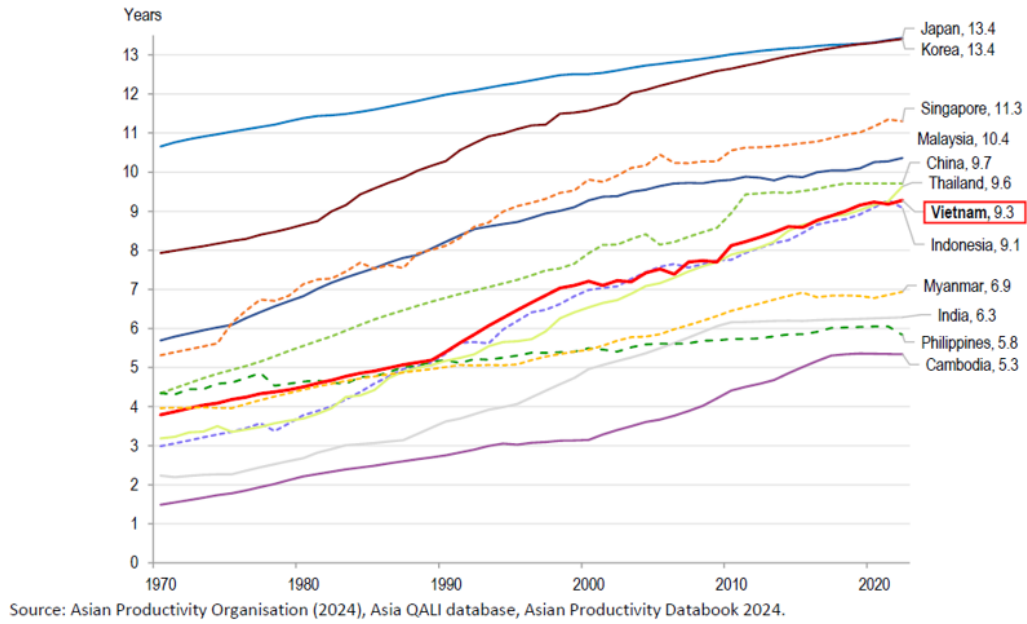


Figure 10: Years of Education in Vietnam and in other countries

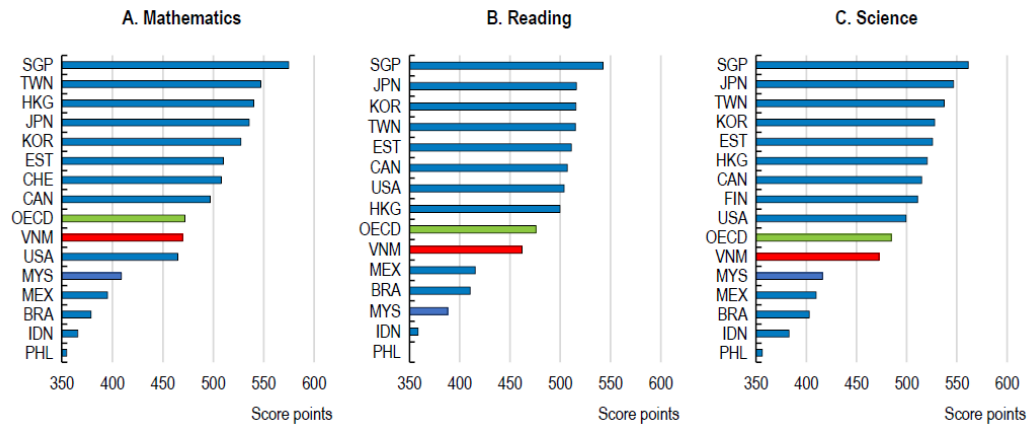


Figure 11: PISA scores in Vietnam and in other countries

Revisiting the four key factors identified by Rodrik (2011) and World Bank (1993), Vietnam largely adhered to these principles, which played an important role in sustaining economic growth following the reforms initiated in 1986.

4 Vietnam’s Current Development Model

4.1 Key Strengths

Vietnam’s current development model is supported by several important strengths. A relatively young workforce has provided a demographic dividend that has contributed to sustained economic growth. Manufacturing wages remain low by regional standards, enhancing cost competitiveness and reinforcing Vietnam’s attractiveness as a production base. The country has successfully attracted large inflows of foreign direct investment, particularly in export-oriented manufacturing, reflecting political stability, openness to trade, and improving macroeconomic management. Strong performance in basic education has ensured a workforce with solid foundational skills, while Vietnam’s strategic geographic position within Asian supply chains has facilitated deep integration into global value chains. Together, these factors have established Vietnam as a key manufacturing hub for multinational firms.

4.2 Structural Weaknesses

Despite these strengths, Vietnam’s development model exhibits several structural weaknesses. Labor productivity remains low relative to regional peers, limiting income convergence. Exports are characterized by high foreign value added, resulting in limited domestic value creation and weak spillovers to local firms. Domestic enterprise capabilities remain underdeveloped, reflecting constrained access to skills, finance, and technology. Investment in research and development is low, and firm-level training is limited, restricting innovation and productivity upgrading. Persistent governance and corruption challenges continue to affect the business environment. Finally, rapid population aging in the coming decades threatens to erode the demographic dividend, increasing pressure to shift from factor-driven growth toward productivity-led development.

5 Conclusion

The Đổi Mới reforms initiated in 1986 marked a decisive turning point in Vietnam’s economic history. They transformed a collapsing centrally planned system into one of the most dynamic and open economies in East and Southeast Asia. At their core, the reforms aimed to decentralize state management, expand external economic relations to attract trade and investment, and formally recognize the private sector as a central engine of growth. Đổi Mới thus represents a distinctly Vietnamese development path, combining market-based mechanisms with a socialist-oriented institutional framework.

Vietnam’s post-reform experience demonstrates that gradual, state-guided market liberalization can generate sustained growth while preserving macroeconomic and political stability. In this sense, Vietnam offers an important case study for developing economies seeking to balance ideological continuity with economic pragmatism. Over the past decades, Vietnam has emerged as a key manufacturing hub in Asia, supported by favorable demographics, low labor costs, and strong inflows of foreign direct investment.

Nevertheless, the analysis highlights several structural constraints that threaten Vietnam’s long-term convergence prospects. Growth has been driven primarily by factor accumulation and export expansion rather than by productivity and innovation. Labor productivity remains low compared to regional peers, domestic value creation is limited by high foreign value added in exports, and dependence on foreign technology and investment persists. Environmental pressures associated with rapid industrialization and persistent governance challenges further complicate the development outlook.

Recent policy strategies aim to address these structural weaknesses and to mitigate the risk of Vietnam falling into the middle-income trap. The subsequent paper will build on this analysis by examining whether Vietnam can realistically achieve high-income status by 2045 and by proposing the policy reforms required to support this transition.

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